CLOSING STATEMENT

Osprey Secure Storage | Phoenix, AZ

Property	Osprey Secure Storage
Settlement Date	December 1, 2020
Buyer	Sunbelt Ridge Acquisitions
Seller	Harlan Street Capital
Sale Price	$5,770,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$5,770,000			
Earnest money deposit		$27,732	$27,732	
Real estate tax proration	$16,823			$16,823
Rent proration			$29,812	
Security deposits assumed	$15,175	$15,175		
Prepaid rents			$29,441	$29,441
Owner's title policy premium	$4,374			
Lender's title policy premium		$38,560	$38,560	
Escrow fee	$2,572			$2,572
Recording fees			$37,285	
Transfer tax	$19,976	$19,976		
Survey			$7,501	$7,501
Legal fees - Buyer	$42,799			
Legal fees - Seller		$8,911	$8,911	
Broker commission	$17,747			$17,747
Loan origination fee			$47,881	
Lender legal	$21,586	$21,586		
Appraisal fee			$45,504	$45,504
Environmental report	$9,887			
Property condition report		$43,381	$43,381	
Tax escrow deposit	$41,886			$41,886
Insurance escrow deposit			$55,318	
Replacement reserve deposit	$24,381	$24,381		
Utility deposits			$54,413	$54,413
Assumed vendor contracts credit	$55,477			

Report generated 12/01/2020. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$5,770,000			
Legal fees - Seller		$49,573	$49,573	
Broker commission	$53,725			$53,725
Loan origination fee			$11,960	
Lender legal	$24,626	$24,626		
Appraisal fee			$40,661	$40,661
Environmental report	$16,468			
Property condition report		$24,877	$24,877	
Tax escrow deposit	$13,277			$13,277
Insurance escrow deposit			$31,548	
Replacement reserve deposit	$48,711	$48,711		
Utility deposits			$27,543	$27,543
Assumed vendor contracts credit	$19,995			
Tenant improvement credit		$41,140	$41,140	
Courier / wire fees	$20,395			$20,395
Municipal certificates			$57,545	
Purchase price	$56,211	$56,211		
Earnest money deposit			$20,959	$20,959
Real estate tax proration	$8,594			
Rent proration		$35,825	$35,825	
Security deposits assumed	$27,999			$27,999
Prepaid rents			$18,011	
Owner's title policy premium	$20,806	$20,806		
Lender's title policy premium			$16,954	$16,954
Escrow fee	$9,787			
Recording fees		$10,065	$10,065	
Transfer tax	$49,777			$49,777
Survey			$48,252	

Report generated 12/01/2020. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Physical occupancy is 89.4% and the average in-place rent is $157 per unit per month. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability.

Effective gross income for the trailing period was $206,000, representing a 9.7% increase over the prior year. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Operating expenses totaled $83,000 or approximately 20.80 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.90% reflects the in-place income and the stabilized occupancy assumption.

Income and Expense Review

Physical occupancy is 95.1% and the average in-place rent is $157 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Effective gross income for the trailing period was $255,000, representing a 13.5% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. Physical occupancy is 92.5% and the average in-place rent is $157 per unit per month. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $435,000 or approximately 6.63 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Operating expenses totaled $27,000 or approximately 26.33 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.21% reflects the in-place income and the stabilized occupancy assumption.

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Operating expenses totaled $311,000 or approximately 13.72 per square foot, with real estate taxes representing the largest line item. Physical occupancy is 90.4% and the average in-place rent is $157 per unit per month. The going-in capitalization rate of 5.81% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.41x on a trailing basis against a covenant minimum of 1.20x.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$5,770,000			
Tenant improvement credit		$6,069	$6,069	
Courier / wire fees	$10,833			$10,833
Municipal certificates			$11,005	
Purchase price	$47,995	$47,995		
Earnest money deposit			$33,416	$33,416
Real estate tax proration	$29,953			
Rent proration		$28,996	$28,996	
Security deposits assumed	$20,467			$20,467
Prepaid rents			$47,689	
Owner's title policy premium	$28,200	$28,200		
Lender's title policy premium			$7,924	$7,924
Escrow fee	$34,610			
Recording fees		$27,083	$27,083	
Transfer tax	$23,902			$23,902
Survey			$7,046	
Legal fees - Buyer	$19,776	$19,776		
Legal fees - Seller			$46,804	$46,804
Broker commission	$52,755			
Loan origination fee		$7,179	$7,179	
Lender legal	$43,280			$43,280
Appraisal fee			$33,045	
Environmental report	$46,991	$46,991		
Property condition report			$17,747	$17,747
Tax escrow deposit	$9,486			
Insurance escrow deposit		$23,937	$23,937	
Replacement reserve deposit	$13,066			$13,066
Utility deposits			$9,054	

Report generated 12/01/2020. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Effective gross income for the trailing period was $306,000, representing a 4.2% increase over the prior year. The going-in capitalization rate of 7.53% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $398,000 or approximately 30.67 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

Physical occupancy is 95.8% and the average in-place rent is $157 per unit per month. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. The going-in capitalization rate of 7.08% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance.

Valuation Discussion

Physical occupancy is 91.1% and the average in-place rent is $157 per unit per month. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Debt service coverage ratio was 5.82x on a trailing basis against a covenant minimum of 1.20x. Physical occupancy is 96.9% and the average in-place rent is $157 per unit per month. The going-in capitalization rate of 7.30% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $74,000, representing a 8.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. Operating expenses totaled $34,000 or approximately 44.78 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $210,000, representing a 7.7% increase over the prior year. Physical occupancy is 90.4% and the average in-place rent is $157 per unit per month. Debt service coverage ratio was 7.07x on a trailing basis against a covenant minimum of 1.20x.

Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Effective gross income for the trailing period was $190,000, representing a 4.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Physical occupancy is 90.5% and the average in-place rent is $157 per unit per month. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Osprey Secure Storage Owner LLC

By: Tina Larsen Title: Manager Date: 12/01/2020

_____

Natalie Patel

By: Kevin Delgado Title: President Date: 12/01/2020

Exhibit A - Property

Osprey Secure Storage, 7739 Market Avenue, Phoenix, AZ 15898. Parcel containing approximately 15.72 acres, together with all improvements thereon.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only